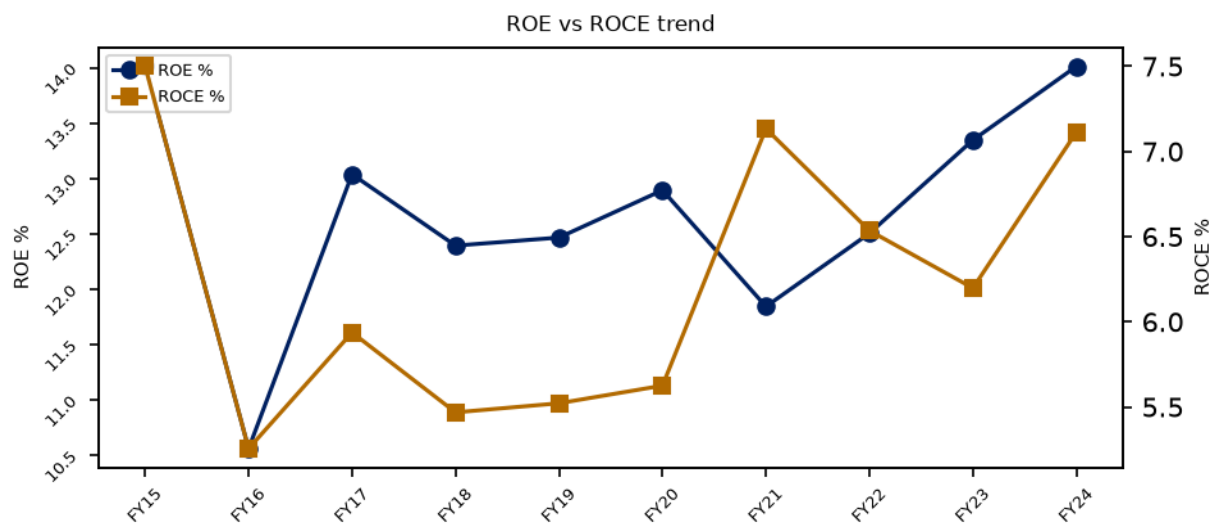
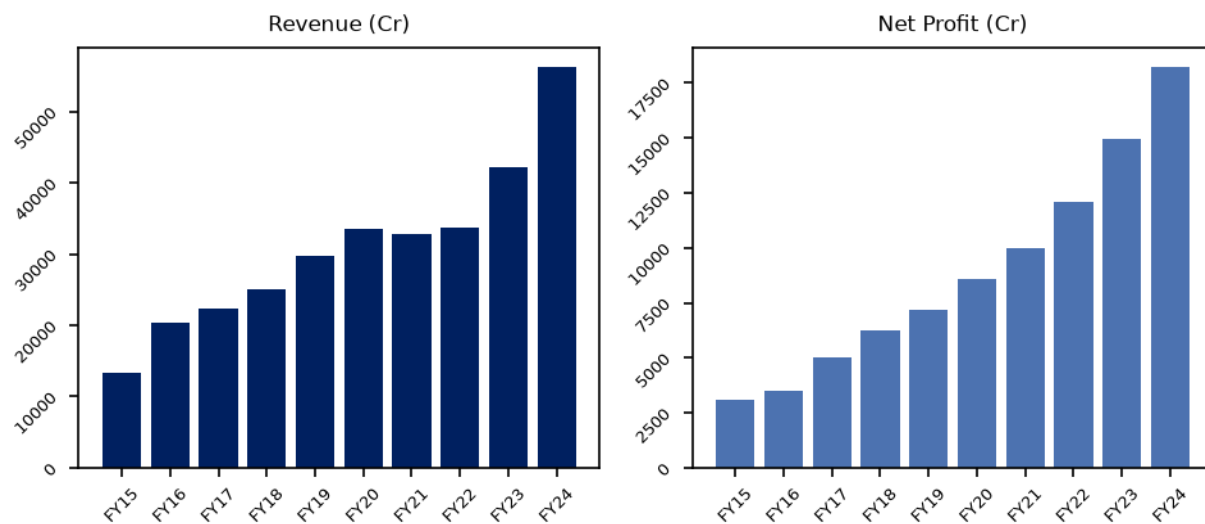
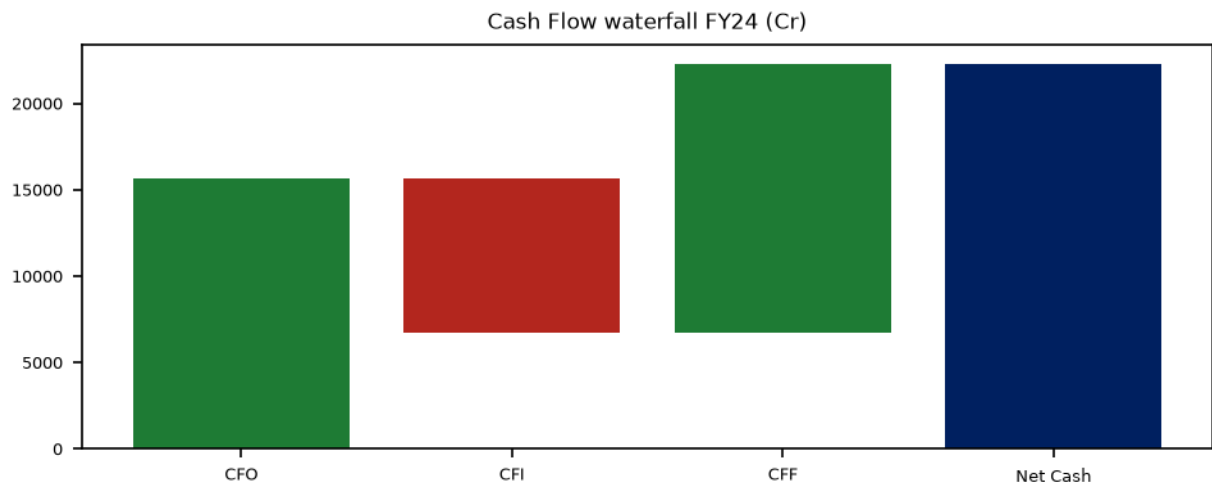
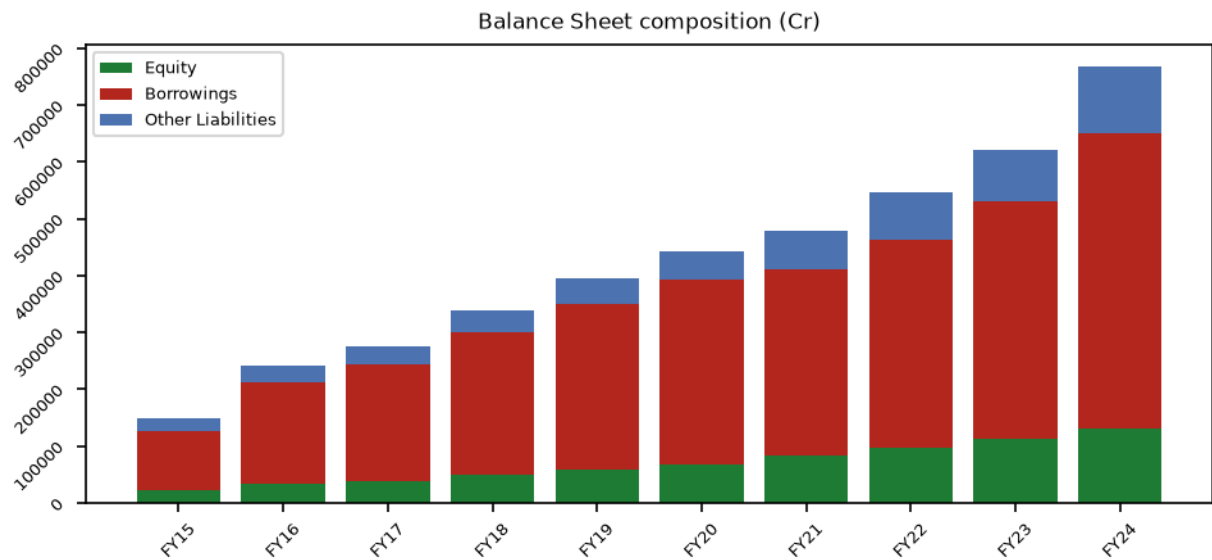


Kotak Mahindra Bank Ltd (KOTAKBANK) — Financials / Private Banks

14.0 ROE %	7.1 ROCE %	32.4 Net Margin %
4.0x D/E	13.5 Rev CAGR 5Y %	32.9 P/E



KOTAKBANK — Balance Sheet & Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality

Capital Allocation: Growth via External Financing